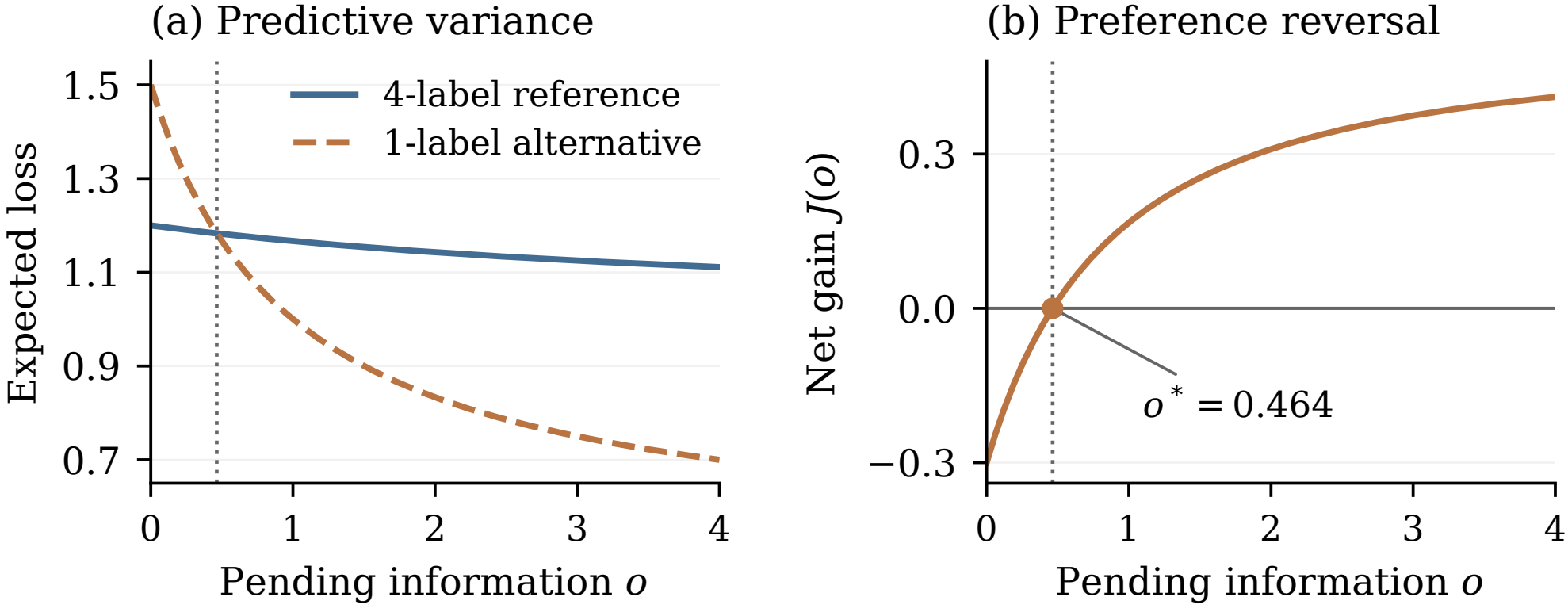
(a) Predictive variance
Expected loss
1.5
1.3
1.1
0.9
0.7
4-label reference
1-label alternative
0
1
2
3
4
Pending information o
(b) Preference reversal
Net gain $J(o)$
0.3
0.0
−0.3
$o^* = 0.464$
0
1
2
3
4
Pending information o